Leverage Ratio is part of the Pillar 1. It is the ratio between capital measure and exposure measure.

Leverage Ratio = Capital measure / Exposure measure

Capital measure refers to Tier 1 capital and Exposure Measure refers to the assets created by banks and financial institutions. The total assets are adjusted to take care of some unusual exposures and after adjustments this exposure measure is arrived for this purpose. The banks are expected to maintain a leverage ratio of at least 3 per cent.

Pillar 2: Risk Management and Supervision

It calls the banks to have an internal assessment process to assess the capital adequacy, risk exposure and to device risk management technique. It also calls Central Banks to have a review process to review banks.

Pillar 3: Market Discipline

Market discipline warrants disclosure of certain details like capital adequacy, risk exposure and risk assessment procedure. The disclosure of details should be on the line of details submitted to regulatory authority. It brings transparency and gives confidence to market participants.

2. Liquidity

The liquidity consists of two key principles. They are:

A. Liquidity Coverage Ratio (LCR)
B. Net Stable Funding Ratio (NSFR)

A. Liquidity Coverage Ratio

As per this norm a bank has to have adequate stock of unencumbered